

MODULE 2: CONCEPT OF MANAGEMENT

Management is a universal phenomenon. It is a very popular and widely used term. All organizations - business, political, cultural or social are involved in management because it is the management which helps and directs the various efforts towards a definite purpose.

Definitions of Management

According to *Marry Parker Follett*, “Management is the art of getting work done out of others, working in a group”. Management is an art of making people work in an effective and efficient manner.

Effectiveness: it is the ability to choose appropriate goals and achieve them. (Doing the right things)

Efficiency: it is the ability to make the best use of the available resources in the process of achieving goals. (Doing things right)

According to *F.W. Taylor* “Management is an art of knowing what to do, when to do and see that it is done in the best and cheapest way”.

“Management is what a manager does”. -- **Allen Louis**

Management is “art of directing and inspiring people”. –**James**



To manage is “to forecast and plan, to organize to command, to co-ordinate, to control”. –

Henry Fayol

The managerial job, in general could be analyzed in terms of certain managerial functions.

1. Planning
2. Organizing
3. Staffing
4. Directing
5. Controlling

Including co-ordination as the essence of manager ship

Summing up:

Management refers to all those activities which are concerned with:-

- Formulation of objectives plan and policies of the collective enterprise.
- Assembling Men, Money, Material, Machine and their accomplishment.
- Directing and motivating the men at work.
- Coordinating the physical and human resources.
- Supervising and controlling performance and
- Securing maximum satisfaction for both employer and employee and providing the public with the best possible services.

NATURE AND FEATURES OR CHARECTERISTICS OF MANAGEMENT

1. Management as an activity (or a process)

A manager performs a managerial activity. The managerial activity is in fact the managerial job i.e. the task performed by a manager or the group of managers is an enterprises.

INPUT →	PROCESS	→ OUTPUT
5M	Planning	Achievement of Goals
Men	Organizing	Profit - Loss
Money	Staffing	Performance of the Firm
Machine	Directing	
Materials	Controlling	
Methods		

- The managerial process is **continuous one**
- The managerial process is in the present day time's regard as a social process.
- The management process is an **integrating process**. It integrates 5M's for carrying out of the operating of an enterprise and for achieving and stated objectives. That way the management might be able to extracted maximum output form a minimum of inputs.
- The management process is communication.

2. **Management is a universal process:** the process of management can be applied to all spheres of life. The basic characteristics of management activity are the same in all type of organization. The management activity is basically the same everywhere.
3. **Management is factor of production:** Management is regard as factors of production. Just as land labour, capital and organization.
4. **Management is goal oriented:** The most important goals of all management activity are to accomplish the objectives of an enterprise. These objectives may be economic, socio-economic, social and human. Management at different levels seeks to achieve these in different ways.
5. **Management is intangible:** Management has been called the unseen force. Its presence in evidenced by the result of its efforts. Thus feeling of management is results- management.
6. **Management is purposeful:** Management deals with the achievement of something commonly. Managerial success is measured by the extent to which the objectives are achieved.
7. **Decision-Making:** Management process involves decision-making that is it involves the evaluation and selection of alternatives.
8. **Art as well as Science:** Management is both an art and a science. It is an art in the sense of possessing of managing skill by a person. In another sense, management is the science because of developing certain principles or laws which are applicable inn a place where a group of activities are coordinated.
9. **Management is a profession:** management is a profession because it possesses the qualities of a profession. A fund of knowledge is imparted and transferred in the profession and the same is followed by management.
10. **Management needed at all levels:** the functions if management is common to all levels of organization. The top executives perform the function of planning, organizing, directing, controlling and decision making. The same functions are performed by the lower level supervisor.

IMPORTANCE OF MANAGEMENT

Management is a must for every enterprise. The existence of management ensures proper functioning and running of an enterprise. Management can plan the activities to achieve the objectives and utilize the available resources at minimum cost.

- 1. Management meets the challenge of change:** In the modern business world, there are frequent changes. The changes place the business in a dangerous position. Only an efficient management can save the business from the dangers brought in by the challenges.
- 2. Accomplishment of group goals:** The achievement of objectives if a business depends upon three factors. The proper planning of available resources, adjusting possibility of business unit with existing business environment and the quality of decision taken and control made by business unit are the factors responsible for achieving objectives.
- 3. Effective utilization of business:** There are eight M's in the business. These said to be man, money, materials, methods, motivation, markets and management. Management is the topmost of all other 'M's. Management has controls over other remaining 'M's.
- 4. Resource Development:** Efficient management is the life boat of any developed business. The resources of the business may be identified and developed by the management. The term 'resources' includes men, money, material and machines.
- 5. Management directs the organization:** The human mind directs and controls the functioning of human body. Similarly, the management directs and controls the functioning of an organization.
- 6. Integrates various interests:** Each person has his own interests. These interests are different in nature. Management takes steps to integrate various interests to achieve the objectives of an organization.
- 7. Stability:** The functions of business are stabilized by the management. The fluctuations of business are caused by the changing policy of the government, pressures on the part of competitors and changing preferences of customers.
- 8. Innovation:** New ideas are developed by the management and implemented in the organization. Better performance is achieved through new ideas.

9. Co-ordination and team spirit: All the business is grouped department wise. Management co-ordinates different departments and establishes team-spirit to achieve the objectives.

10. Tackling problems: Good management acts as a friend or a guide if workers while tackling problems.

ADMINISTRATION VS MANAGEMENT

There has been a controversy on the use of the two terms-management and administration. Administration is different from management:

Administration is a higher-level activity while management is a lower level management. Administration is a determined function concerned with the determination of objectives and policies while management is an executive function involving the implementation of policies.

Administration

“Administration is the function in industry concerned with the determination of the corporate policy, the co-ordination of finance, production and distribution, the settlement of the compass (structure) of the organization under the ultimate control of the executive”

Management

“Management is the function in industry concerned with the execution of policy within the limits set up by the administration and the employment of the organization for the particular objects set before it”

ADMINISTRATION	MANAGEMENT
1. Legislative and determinative function.	1. Executive function
2. Determination of objectives and policies	2. Implementation of policies
3. Provides a sketch of the enterprise.	3. Provides the entire body
4. Influenced mainly by public opinion and other outside forces.	4. Influenced mainly by administrative decision
5. Mainly a top level function	5. Mainly a lower level function
6. Involves thinking and planning	6. Involves doing and acting

7. Acts as a principal.	7. Acts as an agency
8. Mostly external factors effecting in decisions	8. Mostly internal factors effecting in decisions
9. Administrative qualities required	9. Technical qualities required

ACTIVITY

Make groups of 8–10 students each according to the size of class. Let them run a garment manufacturing company. Assign the following tasks to each group.

- Let group 'A' identify the activities that take place in the company.
- Let group 'B' classify these activities into managerial and non-managerial activities.
- Let group 'C' identify the planning activities.
- Let group 'D' identify the organising activities.
- Let group 'E' identify the staffing activities.
- Let group 'F' identify the directing activities.
- Let group 'G' identify the controlling activities.
- Let group 'H' identify the coordinating activities.

The teacher can then summarise these activities and derive appropriate conclusions. The above activity can be done for any sector such as software export house, or an auto company. The teacher should do some preparation in finding out the actual activities with the help of Internet and printed material relevant to the sector which is selected. The students can also be involved in

the searching exercise by the teacher.

Answer the following

- Define management.
- Name any two important characteristics of management.
- Why management is considered a multi-faceted concept?
- Discuss the basic features of management as a profession.